FSA, HRA, HSA?

We have the answers.

Consumer driven health accounts offer advantages to both employers and employees. Employers save on FICA/ Medicare matching taxes for employee contributions, generate higher employee satisfaction and retention rates, and increase interest from job applicants. Employees save on Federal/State income taxes as well as FICA/ Medicare taxes, have better control over healthcare decisions, and experience more healthcare affordability.

Flexible Savings Account (FSA)

An FSA is an employer-sponsored benefit plan that employees can use to pay for qualified healthcare expenses for themselves and their dependents. Contributions to an FSA account are made in equal increments, each pay period over the course of a year. The law allows contributions to be made by the employee, the employer, or both.

Advantages of an FSA

- No health plan is required. Any qualified employee may sign up for an FSA regardless of their health insurance coverage
- Contributions to the account are made prior to taxes being taken out, which can result in significant tax savings
- The full annual election amount is available from the first day of the plan year. If the employee incurs a large medical expense in January, for example, he or she can access the funds immediately instead of having to wait for contributions to accrue
- Some FSAs have a grace period of up to 2.5 months to spend down unused funds or a rollover to the next plan year of up to $610

Disadvantages

- Some FSAs have a ‘use it or lose it’ policy, depending on the employer’s plan. Unused funds at the end of the year are forfeited
- FSA accounts are not portable. Once an employee leaves the company for any reason (whether due to retirement, job loss, etc.), the funds are no longer available
- FSAs cannot be used to pay for health insurance premiums, COBRA, long-term care coverage or expenses, or any amount covered under another health plan
- The per-payday contribution amount cannot be changed once the plan year begins

Health Reimbursement Arrangement (HRA)

An HRA is an employer-owned and -sponsored benefit account for employees to use to pay for qualified healthcare expenses for themselves and their dependents. HRAs are funded solely (100%) by the employer, and every employee must receive the same benefit amount. Traditional HRAs are offered as Integrated (linked to a group health plan), Retiree-Only, or Dental and Vision Only.

Advantages of an HRA

- There is no limit on employer contributions
- Unused funds may roll over to the following year
- Reimbursements for qualified medical expenses are not taxed
- Contributions to an HRA are not counted against an employee's income
- Tax savings go to the employer

Disadvantages

- HRA accounts are not portable. Once an employee leaves the company for any reason (whether due to retirement, job loss, etc.), the funds are no longer available
- Traditional HRAs cannot be used to pay for health insurance premiums
- Reimbursement occurs only after a claim is filed and approved by the employer

Individual Coverage HRA (ICHRA)

- An Individual Coverage HRA is similar to a traditional HRA, except that under an ICHRA, employees may purchase an individual health insurance policy with the funds. To qualify for an ICHRA, the employee must not have coverage under the company's group health policy.
- The employer may offer either an ICHRA or a traditional group health plan, but may not offer employees a choice between the two.

Excepted Benefit HRA (EBHRA)

- An Excepted Benefit HRA may be offered to all employees regardless of their participation in the company health plan. The EBHRA is only permitted if the company offers group health coverage to employees.
- The account can be used to cover co-pays, deductibles, and premiums for qualified vision and dental expenses. It may also cover other excepted benefits such as COBRA, short-term limited duration insurance, or long-term care coverage. **Check the IRS website for annual contribution limits.**

Qualified Small Employer Health Reimbursement Arrangement (QSEHRA)

With many similarities to a traditional HRA, the QSEHRA differs in that it is only available for employers who:

1. **Have fewer than 50 employees AND**
2. **Does not offer a group health insurance plan**

The QSEHRA is funded solely (100%) by the employer, and may be used to cover the cost of health insurance premiums and/or qualified medical expenses for employees and their dependents. Some employees may be excluded from being able to use the company's QSEHRA (see IRS requirements). **Check the IRS website for annual contribution limits.**

Health Savings Account (HSA)

An HSA is a medical savings account for individuals to pay for qualified healthcare expenses for themselves and their dependents. In order to qualify for an HSA, the individual must have a qualified high deductible health plan (HDHP).

The HSA is owned by the individual and may be funded by the employee, employer, or both. All contributions are made pre-tax.

Advantages of an HSA

- HSAs offer triple tax savings:
  1. **Contributions are tax-free**
  2. **Withdrawals made for qualified medical expenses are tax-free**
  3. **Interest and investment earnings are tax-free**
- Unused funds roll over at the end of the plan year
- Account owners may invest the funds once they meet a minimum threshold (varies by plan provider)
- The account is portable; if the employee leaves the company for any reason, the account goes with him or her
- HSAs may be used to pay for a wide range of IRS-approved out-of-pocket medical expenses, including COBRA and long-term care premiums as well as Medicare Parts A and B
- After age 55, account owners may contribute an additional $1,000 per year
- Once the account holder has reached retirement age, HSA funds may be withdrawn for non-medical expenses without penalty
- There is no time limit on filing for an expense reimbursement, as long as the account was established before the expense occurred
- The contribution election amount may be modified after the plan year begins

Disadvantages

- HSAs are only available for individuals with a qualified HDHP
- Account holders can only use funds that are currently available in the account
- Must keep detailed records for auditing purposes
- Some HSA vendors may charge account fees

	Flexible Spending Account (FSA)	Health Reimbursement Arrangement (HRA)	Health Savings Account (HSA)
Funded/ Owned By	Employer-owned/ employee-funded	Employer-owned and funded	Employee-owned and funded
Qualified Expenses	IRS-approved qualified medical expenses	Employer-approved qualified medical expenses, including insurance premiums for some HRAs	IRS-approved qualified medical expenses
Health Plan Requirement	None	Depends on HRA type	Individuals must be enrolled in qualified high deductible health plan
Tax Advantages	Contributions are tax-free	Contributions are tax-free	Tax-free: Contributions Withdrawals for medical expenses Interest and investment earnings
Rollover or Grace Period	Yes, but not required. Varies by employer plan Grace period of up to 2.5 months OR up to $610 rollover	Yes	Yes
Investment	No	No	Yes, once the account balance reaches a minimum threshold
Portability	No	No	Yes

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